

Operating Segments
6 Months Ended
Jun. 29, 2024

[Segment Reporting](#)
[\[Abstract\]](#)

Note
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We previously announced the implementation of our internal foundry operating model, which took effect in the first quarter of 2024, and creates a foundry relationship between our Intel Products business (collectively CCG, DCAI, and NEX) and our Intel Foundry business. Intel Products consists substantially of design and development of CPUs and related solutions for third party customers. Intel Foundry consists substantially of process engineering, manufacturing, and foundry services groups that provide manufacturing, test, and assembly services to our Intel Products business and to third party customers. Both businesses utilize marketing, sales, and other support functions.

Our internal foundry model is a key component of our strategy and is designed to reshape our operational dynamics and drive greater transparency, accountability, and focus on costs and efficiency. We also previously announced our intent to operate Altera as a standalone business, with segment reporting beginning in the first quarter of 2024. Altera was previously included in our DCAI segment results. As a result of these changes, we modified our segment reporting in the first quarter of 2024 to align to this new operating model. All prior period segment data has been retrospectively adjusted to reflect the way our Chief Operating Decision Maker (CODM) internally receives information and manages and monitors our operating segment performance starting in fiscal year 2024. There are no changes to our consolidated financial statements for any prior periods.

[Operating Segments](#)

We organize our business as follows:

- Intel Products:
 - Client Computing Group (CCG)
 - Data Center and AI (DCAI)
 - Network and Edge (NEX)
- Intel Foundry
- All other
 - Altera
 - Mobileye
 - Other

CCG, DCAI, and Intel Foundry qualify as reportable operating segments. NEX, Altera, and Mobileye do not qualify as reportable operating segments; however, we have elected to disclose their results. When we enter into federal contracts, they are aligned to the sponsoring operating segment.

The accounting policies for our segment reporting are the same for Intel as a whole. A summary of the basis for which we report our operating segment revenues and operating margin is as follows:

Intel Products: CCG, DCAI, and NEX

- **Segment revenue:** consists of revenues from third party customers. The Intel Products operating segments represent a substantial majority of Intel consolidated revenue and are derived from our principal products that incorporate various components and technologies, including a microprocessor and chipset, a stand-alone SoC, or a multichip package, which are based on Intel architecture.
- **Segment expenses:** consists of intersegment charges for product manufacturing and related services from Intel Foundry, external foundry and other manufacturing expenses, product development costs, allocated expenses as described below, and direct operating expenses.

Intel Foundry

- **Segment revenue:** consists substantially of intersegment product and services revenue for wafer fabrication and related products and services sold to Intel Products, Altera, and certain other Intel internal businesses. We recognize intersegment revenue when we satisfy performance obligations as evidenced by the transfer of control of Intel Foundry products and services to the Intel Products businesses, which is generally at the completion of wafer sorting and at the completion of assembly and test services. Intersegment sales are recorded at prices that are intended to approximate market pricing. Intel Foundry also includes certain third party foundry and assembly and test revenues from external customers that were \$77 million in the three months ended June 29, 2024 and \$104 million in the first six months of 2024, compared to \$231 million in the three months ended July 1, 2023 and \$349 million in the first six months of 2023.
- **Segment expenses:** consists of direct expenses for technology development, product manufacturing and services provided by Intel Foundry to internal and external customers, allocated expenses as described below, and direct operating expenses. Direct expenses for product manufacturing includes excess capacity charges that were previously allocated primarily to CCG, DCAI, and NEX.

All Other: Altera & Mobileye

- **Segment revenue:** consists of product revenues from third party customers. Altera revenue is derived from programmable semiconductors, primarily FPGAs, CPLDs, acceleration platforms, software, IP, and related products. Mobileye revenue is derived from advanced driver-assistance systems (ADAS) and autonomous driving technologies and solutions.
- **Segment expenses:** Altera expenses consist of intersegment charges for product manufacturing and related services from Intel Foundry, third party manufacturing expenses, allocated expenses as described below, and direct operating expenses. Mobileye expenses consists of third party direct expenses for product manufacturing and related services for the manufacturing of Mobileye products and direct operating expenses.

Our "all other" category also consists of "other", which includes:

- results of operations from non-reportable segments not otherwise presented, and from start-up businesses that support our initiatives; and
- historical results of operations from divested businesses.

We allocate operating expenses from our sales and marketing group to the Intel Products operating segments, and allocate operating expenses from our finance and administration groups to all of our operating segments, except Mobileye.

We estimate that the substantial majority of our consolidated depreciation expense in the first six months of 2024 and in the first six months of 2023 was incurred by Intel Foundry. Intel Foundry depreciation expense is substantially included in overhead cost pools and then combined with other costs, and subsequently absorbed into inventory as each product passes through the manufacturing process and is sold to Intel Products and other customers. As a result, it is impractical to determine the total depreciation expense included as a component of each Intel Products operating segment's operating income (loss).

We do not allocate to our operating segments corporate operating expenses that primarily consist of:

- restructuring and other charges;
- share-based compensation;
- certain impairment charges; and
- certain acquisition-related costs, including amortization and any impairment of acquisition-related intangibles and goodwill.

We do not allocate to our operating segments non-operating items such as:

- gains and losses from equity investments;
- interest and other income; and
- income taxes.

The CODM, who is our CEO, allocates resources to and assesses the performance of each operating segment using information about the operating segment's revenue and operating income (loss). Although the CODM uses operating income (loss) to evaluate the segments, operating costs included in one segment may benefit other segments. The measures regularly provided to and used by our CODM under our new operating model continue to evolve; currently, our CODM does not regularly review or receive discrete asset information by segment.

Intersegment eliminations: Intersegment sales and related gross margin on inventory recorded at the end of the period or sold through to third party customers is eliminated for consolidation purposes. The Intel Products operating segments and Intel Foundry are meant to reflect separate fabless semiconductor and foundry companies. Thus certain intersegment activity is captured within the intersegment eliminations upon consolidation and presented at the Intel consolidated level. This activity primarily relates to inventory reserves, which are determined and recorded based on our accounting policies for Intel as a whole, but are only recorded by the Intel Products operating segments upon transfer of inventory from Intel Foundry. If a reserve is identified prior to the related inventory transferring to Intel

Products, that reserve is presented as activity within the intersegment eliminations.

Reporting units and goodwill reallocation: As a result of modifying our segment reporting in the first quarter of 2024, we reallocated goodwill among our affected reporting units on a relative fair value basis. We performed a quantitative goodwill impairment assessment for each of our reporting units immediately before and after our business reorganization. We concluded based on our pre-reorganization impairment test that goodwill was not impaired. As a result of our post-reorganization impairment test, we recognized a non-cash goodwill impairment loss of \$222 million in the first quarter of 2024 related to our Intel Foundry reporting unit as the estimated fair value of the new reporting unit was lower than the assigned carrying value, which now includes substantially all of our allocated property, plant, and equipment. The Intel Foundry reporting unit has no remaining goodwill. The fair value substantially exceeded the carrying value for all remaining reporting units tested as part of our post-reorganization impairment test.

Operating segment and consolidated net revenue and operating income (loss)
for each period were as follows:

(In Millions)	Three Months Ended		Six Months Ended	
	Jun 29, 2024	Jul 1, 2023	Jun 29, 2024	Jul 1, 2023
Operating segment revenue:				
Intel Products:				
Client Computing Group				
Desktop	\$ 2,527	\$ 2,370	\$ 4,988	\$ 4,249
Notebook	4,480	3,896	9,161	7,303
Other	403	514	794	995
	<u>7,410</u>	<u>6,780</u>	<u>14,943</u>	<u>12,547</u>
Data Center and AI	3,045	3,155	6,081	6,056
Network and Edge	1,344	1,364	2,708	2,853
Total Intel Products revenue	<u>\$ 11,799</u>	<u>\$ 11,299</u>	<u>\$ 23,732</u>	<u>\$ 21,456</u>
Intel Foundry	\$ 4,320	\$ 4,172	\$ 8,689	\$ 9,003
All other				
Altera	361	848	703	1,664
Mobileye	440	454	679	912
Other	167	117	361	283
Total all other revenue	<u>968</u>	<u>1,419</u>	<u>1,743</u>	<u>2,859</u>
Total operating segment revenue	<u>\$ 17,087</u>	<u>\$ 16,890</u>	<u>\$ 34,164</u>	<u>\$ 33,318</u>
Intersegment eliminations	(4,254)	(3,941)	(8,607)	(8,654)
Total net revenue	<u>\$ 12,833</u>	<u>\$ 12,949</u>	<u>\$ 25,557</u>	<u>\$ 24,664</u>
Segment operating income (loss):				
Intel Products:				
Client Computing Group	\$ 2,497	\$ 1,986	\$ 5,142	\$ 3,166
Data Center and AI	276	469	758	491
Network and Edge	139	64	323	(5)
Total Intel Products operating income (loss)	<u>\$ 2,912</u>	<u>\$ 2,519</u>	<u>\$ 6,223</u>	<u>\$ 3,652</u>
Intel Foundry	\$ (2,830)	\$ (1,869)	\$ (5,304)	\$ (4,229)
All Other				
Altera	\$ (25)	\$ 346	\$ (64)	\$ 636
Mobileye	72	129	4	252
Other	(82)	(120)	(187)	(186)
Total all other operating income (loss)	<u>\$ (35)</u>	<u>\$ 355</u>	<u>\$ (247)</u>	<u>\$ 702</u>
Total segment operating income (loss)	<u>\$ 47</u>	<u>\$ 1,005</u>	<u>\$ 672</u>	<u>\$ 125</u>
Intersegment eliminations	(291)	(413)	203	43
Corporate unallocated expenses	(1,720)	(1,608)	(3,908)	(2,652)
Total operating income (loss)	<u>\$ (1,964)</u>	<u>\$ (1,016)</u>	<u>\$ (3,033)</u>	<u>\$ (2,484)</u>

Corporate Unallocated Expenses

Corporate unallocated expenses represent costs incurred that are not directly attributed to an operating segment. The nature of these expenses may vary, but primarily consist of restructuring and other charges, share-based compensation, certain impairment charges, and certain acquisition-related costs.

(In Millions)	Three Months		Six Months Ended	
	Ended			
	Jun 29, 2024	Jul 1, 2023	Jun 29, 2024	Jul 1, 2023
Acquisition-related adjustments	\$ (265)	\$ (350)	\$ (530)	\$ (721)
Share-based compensation	(780)	(922)	(1,959)	(1,661)
Restructuring and other charges	(943)	(200)	(1,291)	(264)
Other	268	(136)	(128)	(6)
Total corporate unallocated expenses	\$ (1,720)	\$ (1,608)	\$ (3,908)	\$ (2,652)